

Final Exam

Course: Principles of Economics

Course Code: ECO 201

Total points: 30

Weightage towards final grade: 30%

Date: 27/04/2026

Time: 3:00 PM - 4:15 PM

Name: _____ Roll No. _____

1. _____

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Section I

Total: _____

20. _____

21. Back Page

22. _____

23. Back Page

Section II=

Total: _____

Section I Total: _____ **+ Section II Total:** _____

= _____

Answer to 22

Answer to 24.

Context/Clarifications

[illegible]

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Date: 27/04/2026

Time: 3:00 PM - 4:10 AM

The context/clarifications page will only count towards questions that are phrased ambiguously. It does not apply to questions that have clear answers.

Section I (1 mark per question, no negative marking, 20% of grade, CO1 & CO2)

1. In theory GDP Deflator takes into account

- (A) All goods in services (B) A fixed basket of goods and services
(C) A weighted average across key goods and services (D) NOTA

Answer. (A) Though it maybe difficult to measure, the idea is to consider all goods.

2. In our model, α is the _____ of output w.r.t. labour (most correct answer).

- (A) Production (B) consumption (C) Elasticity (D) Cost

Answer. (C) Elasticity by definition.

3. Which of these is considered a “resource curse” (most correct answer).

- (A) Dutch Disease (B) Reduced factor productivity
(C) Resource scarcity (D) NOTA

Answer. (A) Dutch Disease. You may look it up in the slides

4. The reason that actual unemployment can never be zero is because of (most correct answer)

- (A) Cyclical unemployment (B) Natural Unemployment

(C) Fundamental Unemployment (D) It can be 0

Answer. Nature Unemployment

5. The more _____ a bond's maturity, the lower the rate of return that occurs as a result of an increase in the interest rate.(most correct answer)

(A) Distant (B) Near

(C) fixed (D) NOTA

Answer. (A) Distant

6. Externalities are an inefficiency that occur because the market equilibrium reflects only the _____ costs of production. *Answer.* Private

7. Law of one price: the _____ of an identical good should be the same throughout the world if trade barriers are _____ (most correct answer)

(A) prices, low (B) quantity, low

(C) prices, high (D) quantity, low

Answer. (A) prices, low

8. people dislike losses more than they like commensurate gains. This is known as (most correct answer)

(A) Risk bias (B) Loss bias

(C) Risk aversion

(D) Loss aversion

Answer. (D) Loss Aversion

9. _____ + _____ = net change in government international reserves

- (A) Current account, capital account (B) Government account, RBI account
(C) Monetary account, Fiscal account (D) NOTA

(A) Current Account, Capital Account

10. John Nash proved that in any game, there always exists at least one pure strategy Nash Equilibrium

(A) True (B) False

Answer. (B) False

11. In a 2 player game, in order to obtain a Nash Equilibrium, every player must have

- (A) The same strategy set (B) The same action set
(C) Both must strategy and action sets must be identical (D) NOTA

Answer. NOTA. None of these conditions are needed.

12. Your roommate plays loud music, which annoys you and imposes an externality. You pay him the exact amount he would accept to stop playing music. This is a good example of

- (A) Base-rate neglect (B) Conjunction fallacy
(C) Confirmation bias (D) Coase Theorem

Answer. (D) Coase Theorem

13. In the short run, increase in domestic exchange rate causes the domestic currency to

- (A) Remain unchanged (B) Appreciate (C) Depreciate (D) NOTA

Answer. (B) Appreciate

14. _____ real interest rate is adjusted for expected changes in the price level

Answer. Ex-ante

15. All combinations of possible inputs are a

(A) Production Function (B) Production set (C) Production relation (D) NOTA

Answer. (B) Production Set

16. In a strictly simultaneous move game with full information (basically, games discussed in class), the set of all pure strategies for any player is the same as the action set for that player

(A) True (B) False

Answer. True. There is no real strategising possible above the basic actions, as there is only one node. (C) Depends on whether or not the action set is continuous

17. India is approaching the peak of its _____ expected to peak around 2030.

(A) Population (B) Literacy (C) Inflation (D) Demographic Dividend

Answer. (D) Demographic Dividend.

18. Thinking that a departure from the average behaviour of some system will be corrected in the short term is known as

(A) Conjunction fallacy (B) Base rate neglect (C) Gambler's fallacy (D) Over-confidence

Answer. (C) Gambler's Fallacy. (By definition)

19. Anchoring and adjustments happen because We make judgments not by actually computing probabilities and utilities but by following _____.

Answer. heuristics

Section II (See marks for each question carefully, not the same)

20. Find all the Pure Strategy Nash Equilibrium (3 marks)

	w	x	y	z
a	0,1	0,1	1,0	3,2
b	1,2	2,2	4,0	0,2
c	2,1	0,1	1,2	1,0
d	3,0	1,0	1,1	3,1

Answer. (b,x); (a,z); (d,z)

21. Is A Nash Equilibrium always Pareto Efficient? If no, explain with an example. (2.5 marks)

Answer.

		Player 2	
		A	B
Player 1	A	-5, -5	0, -7
	B	-7, 0	-1, -1

Here, the Nash Equilibrium is (A,A), but both can be better off at (B,B), which is Pareto superior.

22. What is the expected utility for a risk loving agent in the context of the Saint Petersburg Paradox? (2.5 marks)

Answer. Infinity

Answer.

23. Show that the conjunction and disjunction fallacies are logically equivalent. (3 marks)

Answer.

- A AND B is logically equivalent to $\neg[\neg A \vee \neg B]$.
- If you overestimate $\Pr(\neg[\neg A \vee \neg B])$, you overestimate $1 - \Pr(\neg A \vee \neg B)$.
- This is the same as underestimating $\Pr(\neg A \vee \neg B)$.

XXXXXXXXXXXXXXXXX END OF PAPER XXXXXXXXXXXXXXXXXXXX

Rough Work
